

Chapter 3

Basics of Budget Preparation

This chapter covers the basics of budgets such as the budget function, budget purpose, and budget preparation. It also introduces governmental funds and governmental accounting. For now, the focus is on so-called recurrent budgets as opposed to capital budgets. Recurrent budgets finance current expenditures with current revenues. Capital budgets (which are covered in a later chapter) finance large expenditures with a multi-year lifespan with future tax revenues (e.g., debt financing) due to fairness issues.

Before we start introducing budget basics, consider your personnel budget, which may help think about the budget aspects of the government. You may have a planned allocation of money to various categories such as housing, food, apparel, or health care. You also have various (competing) considerations regarding allocation based on your marital status, number of children, expected income, and so on. You may also have rainy day funds available and you make a distinction between routine expenditures (e.g., food) and long-term investments (e.g., car). In any case, your personnel financial situation is likely improved due to presence of budget. Note though that the spending activity of a government results in different economic outcomes, which are covered in later sections, than your personnel budget.

Budgeting is the process of developing, implementing, and evaluating a budget. The political scientist Aaron Wildavsky (1930-1993) stated the following:

The budget is the lifeblood of the government, the financial reflection of what the government does or intends to do.

The crucial aspect of budgeting is whose preferences are to prevail in disputes about which activities are to be carried on and to what degree, in the light of limited resources.

A budget is a plan to allocate public resources and there is no policy without a budget. It serves as a decision guide for the provision of governmental goods and services. The spending in various categories and the revenue collection also reflect policy choices made by the government. There are many budget aspects to consider such as the types and extent of goods and services provided, the size of the government relative to the private sector, the relative size of departments and agencies within the government, or the methods to raise revenue. On a historical side note, the focus of initial budgets was theft prevention.

Budgets drive public policy with multiple and often conflicting objectives (e.g., empty reservoir for flood control versus full reservoir for recreation). There is also no standard measure of objectives. For example measuring a reduction in traffic fatalities is much simpler than gains from cleaner rivers. Consider two examples that fulfill multiple objectives:

1. Subsidizing school lunches both feed children and creates income support.
2. Needle exchanges for drug users reduce the public health risk of HIV infections as well as [lifetime treatment cost, which is estimated to be around \\$379,668](#)).

Place-based versus people-based resource allocation

- *Simple treatments of abandoned buildings and vacant lots returned conservative estimates of between \$5.00 and \$26.00 in net benefits to taxpayers and between \$79.00 and \$333.00 to society at large, for every dollar invested* (Source: [New Yorker “The other side of broken windows”](#))

Implications for the budgeting process

- Participatory
- Confrontational
- Compromising

Forecasts are the basis for budget development even if those forecasts change over the lifetime of the budget. For example, it is important to know the effect of economic growth on tax revenue and expenditures in terms of transfer payments for unemployment insurance. Another example would be a snowfall forecast and plan (with the necessary budget) by the Department of Transportation. Different response plans and/or policies based on identical forecasts lead to different budgets.

It is also important to differentiate budgets and political rhetoric. Consider the following sentence:

For education, I maintain our commitment from last year and note that my budget includes direct educational grants to cities and towns of \$2,026,000,000.

Although the sentence is factually correct, inflation and/or additional students may potentially decrease the level of services.

3.1 Budget Function and Purpose

There are four budget functions, which we are going to cover in this section:

1. Financial plan: Financial resource allocation to government programs, projects, and services
2. Operations guide: Specification of activities to achieve policy goals and measures of performance
3. Policy document: Setting of policy priorities by allocating more resources to areas that are considered higher-priority
4. Communication device: Budget as a tool for transparency and accountability to taxpayers

First, the budget outlines the financial implications of governance given the anticipated operating environment. It specifies how revenues will be raised and how those resources will be distributed across various functions (e.g., government programs, projects, and services). The budget projects expected revenues and expenditures over the budget period and limits expenditures to the resources available to ensure solvency. In case that a difference between revenues and expenditures occurs, it outlines steps for remediation. Additionally, the budget reinforces fiscal discipline by controlling expenditures and assigning responsibility for resources to ensure funds are used for their intended purposes. This increases transparency and prevents corruption, which is one of the main reasons for the creation of budgets in the first place. It also provides legal authorization for the government to spend money on specific programs.

Second, as an operations guide, it outlines how public services will be delivered efficiently and cost-effectively. It provides a detailed description of the activities, services, and functions performed by different organizational units, specifying personnel requirements and performance goals for agencies, units, and programs. Importantly, it ensures that all government activities align with legislative intent and conform to legal restrictions regarding the raising and expenditure of funds. This operational function of the budget also serves as a mechanism for ensuring transparency in fiscal operations.

Third, a budget sets priorities through the allocation of resources and thus, acts as a policy document. It articulates long-term, non-financial goals and objectives, presents and evaluates alternatives to achieve these objectives, and identifies long-term financial challenges. The budget allows policymakers to specify priorities by directing more resources toward higher-priority areas, thus reflecting the government's policy agenda. Finally, the budget serves as a communication device, facilitating discussions among policymakers, informing stakeholders of priorities and policy directions, and ensuring transparency for citizens. This communicative role fosters accountability by keeping taxpayers informed about government activities and the rationale behind financial decisions, making it an essential tool for transparent governance.

Given the function as a communication device with stakeholders, it is important

to systematically structure the information provided in a budget. The budget can be structured around administrative units (e.g., agencies) who provide services such as fire department, schools, or police. An alternative way of presenting the information is around economic items (i.e., types of expenditure) such as wages, salaries, or utility charges. And lastly, budgets can be structured functionally around the purpose of expenditure (e.g., education, health, defense).

Recall that at the beginning of this section, we talked about your personnel budget. Similar to your personnel, it is recommend to be prudent in budgeting and account for unexpected events such as economic downturn. Thus, there should be a budget stabilization fund (also known as a rainy day fund) and it is recommended to under-estimate revenues and over-estimate expenditures.

3.2 Budget Preparation

A latter section covers the Federal budget preparation and cycle and here, we are going to focus on a generic government budget preparation. The public budget cycle usually involves four steps, which form a recurring and overlapping process between legislative and executive branches:

1. Executive preparation
2. Legislative review and approval
3. Budget implementation
4. Audit and evaluation

Executive Preparation: The executive preparation starts with forecasting the economic climate and projecting revenue and expenditure. It guides decisions and outlines responses to those decisions. For example, the Department of Transportation uses snowfall forecasts and sets priorities which roads to clear first. This process includes a budget call to agencies and departments which outlines executive priorities, limits on the expenditure growth based on revenue forecasts, and detailed instructions for budget preparation. Agencies prepare and submit their budgets in response to public service demands, and the executive budget ultimately serves as a message of policy direction.

Legislative Review and Approval: The legislative review and approval process involves aligning legislative priorities and constituency interests within appropriation limits. This includes making recommendations, conducting hearings, and reconciling any differences through modifications before adopting the final appropriation bills. Following this, the executive may veto the budget, to which the legislature can respond with further actions to address the veto.

Budget Implementation and Audit and Evaluation: Budget implementation involves the execution of public programs by agencies using appropriated funds, ensuring legal spending in accordance with the budget while avoiding deficit spending. This phase focuses on the practical delivery of services. After the fiscal year ends, audits and evaluations are conducted, including financial

audits to verify legal spending, management audits to assess agency performance, and program audits to evaluate the effectiveness of the programs. An external review of budget execution is conducted, with findings reported to both the legislature and the public.

3.2.1 Budget Document

Budget documents include the following components:

- Budget year: Budget plan for current year
- Out years: Budget plan beyond the current year
- Progress report year: Tracking and comparison of actual expenditures and revenue to budget
- Final report year: Previous year's budget and outcome

The budget message at the beginning of the budget document outlines the goals, objectives, key challenges, and constraints. Given the mention of constraints, it should also contain strategies to address those challenges. The budget message also highlights initiatives to promote goals and objectives. The budget document also includes information about the economic climate, policy priorities, circumstances, constraints, and key changes compared to previous years. Summary tables should include revenue and expenditure trends (by function and object) and workforce trends as well as explain major budget drivers.

3.2.2 Detailed Departmental Budgets

Break-down of budget by unit

- Organization chart
- Mission, objectives, achievements
- Budget summary
- Detailed line item budget
- Personnel detail
- Program/sub-unit specific budgets

3.2.3 Budget Examples

Example of biennial budget

- [Indiana budget](#)
- Current budget: [2023–2025 Budget](#)

Example of an annual budget

- [Indianapolis](#)
- [Federal Aviation Administration](#)

3.3 Exercises

1. **FAA Budget** (**): The following table contains information on the [budget](#) of the Federal Aviation Administration (FAA) and the [GDP deflator](#).

Item	2002	2017
Total Actual (in Billion \$)	13.818	15.734
GDP Implicit Price Deflator (2010 = 100)	84.33	112.32

Answer the following questions:

- a. Compute the percentage change in FAA's budget in nominal dollars from 2002 to 2017.
 - b. Compute the annual compound growth rate of the FAA's budget in nominal dollars from 2002 to 2017.
 - c. Compute the percentage change in prices from 2002 to 2017.
 - d. Compute the annual compound growth rate in prices from 2002 to 2017.
 - e. Compute the percentage change in FAA's budget in real 2017 dollars from 2002 to 2017.
 - f. Compute the annual compound growth rate of the FAA's budget in real 2017 dollars from 2002 to 2017.
2. **Real and Nominal Federal Budget** (**): The U.S. Office of Management and Budget (OMB) publishes [historical budget tables](#). For this exercise, consider the following two tables:
 - Table 1.1: Summary of Receipts, Outlays, and Surpluses or Deficits
 - Table 3.1: Outlays by Superfunction and Function

Prepare an analysis in both nominal and real dollars (2018 \$) of the following data for 1975-2023: (a) Total federal outlays, (b) total defense spending, and (c) total spending on Medicare and Medicaid

3. **Agency Budget I** (**): This exercise involves learning to read and use information in public budgets. As part of this assignment you will be looking at a budget of an U.S. federal agency. First, pick an agency (do not pick a state) from [A-Z index of U.S. government departments and agencies](#) and make sure that the agency publishes a budget online. Download the budgeting information of the agency. Review the agency's budget and answer the questions below. Note that every budget will not provide sufficient information to answer all of these questions. If the information is not available, you should note this in your answers.
 - a. What is the mission of this agency?
 - b. What are the major programs carried out by this agency?
 - c. What is the percent increase in total requested expenditures for the next year over the last year's budget?

- d. What object of expenditure category is the largest? Which is growing the fastest?
 - e. Is the number of personnel (full-time equivalent also known as FTE) in the agency growing, and is the growth rate faster or slower than the personnel budget (in dollars)? What does this tell you about changes in average salaries?
 - f. What information does this budget give you on the productivity and performance of this agency?
 - g. What information would you like to have to be able to assess the ‘efficiency’ and ‘effectiveness’ of this agency?
4. **Agency Budget II (***)**: In this exercise, you are assigned an agency of the U.S. federal government. You will determine whether the expenditure (as a share of total federal expenditures) for your agency have increased, decreased, or stayed the same over the time period covered in the data. Ignore the years that are estimated. Also, if you have “on-budget” and “off-budget” for your agency, combine the values. Please use basic Excel functions to make the calculations easy for you. You will prepare a table with the following columns to be include in the exercise submission:
- **Year**
 - **GDP Deflator**: Go to webpage [Federal Reserve Economic Data](#) and search for “Gross Domestic Product: Implicit Price Deflator” which will lead you to access data about the GDP Deflator. Note that the default setting is “quarterly” but that you need annual data. Click on “Edit Graph” and change the frequency to “Annual.” Download the data and paste it into the column.
 - **Nominal Federal Outlays**: In this column, you paste the expenditure from the federal government.
 - **Nominal Department Outlays**:
 - **Real Federal Outlays**: Based on the GDP Deflator, calculate the outlays of the federal government in real terms.
 - **Real Department Outlays**: Based on the GDP Deflator, calculate the outlays of your department in real terms.
 - **Annual Growth Rate for Federal Outlays**: Calculate the year-to-year change in expenditure for the federal government.
 - **Annual Growth Rate for Department Outlays**: Calculate the year-to-year change in expenditure for your department.
 - **Share of Department Outlays**: Determine whether the outlays (as a share of total outlays) for your assigned department of the U.S. federal government have increased, decreased, or stayed the same over the time period covered in the table